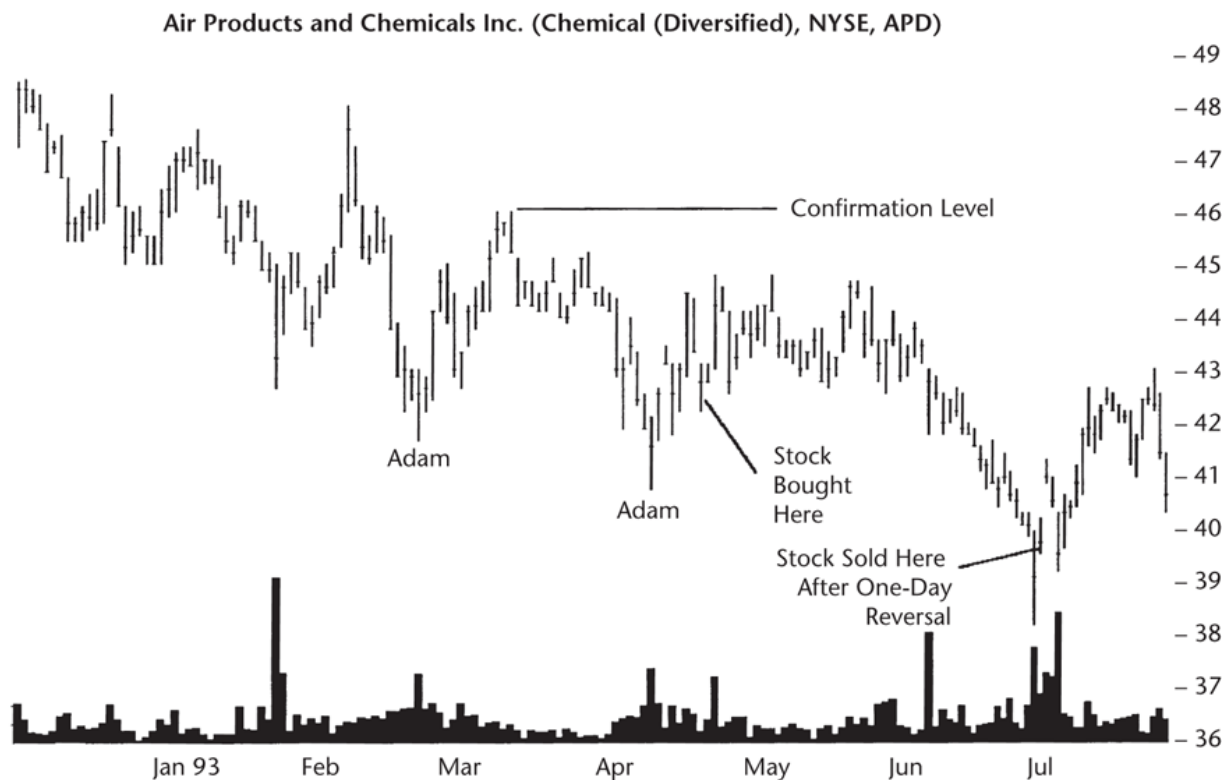


signaling a downward price trend. Thus, a smart investor would have not taken this trade.

[Figure 26.5](#) shows an example of a second type of failure that perhaps you have seen. Here's how Ted traded it.

Ted is a novice investor with an attitude. He looks at the stock chart, checks the identification guidelines, and believes that the stock is making a double bottom. When price rises after the second bottom, Ted decides to pull the trigger early and buys the stock, receiving a fill at 42.63. He reasons that all the indications suggest the stock has completed a valid double bottom, so why not buy now?



[Figure 26.5](#) Example of second type of failure—failing to wait for breakout confirmation. Ted decided to get an early start on the double bottom but lost money.

Ted makes a good point. He is pleased with the stock's performance until it begins to round over. Does he sell out now at a small profit, or should he hold on and risk a downturn while waiting for additional gains? This is a recurring dilemma for traders.